Type MS · Why the capital/revenue split matters

Answer 1 of 3 · Question 1 part d · 5 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 3 · find part d in this mark scheme extract

Number		
1(a)	**Award marks as indicated.**	

Jay
Income statement for the year ended 31 December 2024

	$	$	
Revenue	143 200		
Returns inwards	(3 214)		
		139 986	**(1)**
Cost of sales			
Opening inventory	15 600		
Purchases	69 320		
Closing inventory	(12 900)		**(1fb)**
		(72 020)	**(1)**
Gross profit		67 966	**(1of)**
Add income			
Discount received		534	**(1)**
		68 500	
Less expenses			
Discount allowed	1 328		
General expenses	8 900		
Rent and rates	5 600		
Insurance	1 830		**(1)**
Irrecoverable debts	850		**(1)**
Machinery – depreciation charge	11 350		**(1)**
Machinery repairs	1 500		**(1)**
Wages and salaries	25 000		**(1)**
		(56 358)	**(1)**
Profit for the year		12 142	**(1of)**

(12)

Type MS · Why the capital/revenue split matters

Answer 1 of 3 · Question 1 part d · 5 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 3 · find part d in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)</td><td>Award marks as indicated.

$11 742 (4) W

<table>
<tr><th>W</th><th>$</th></tr>
<tr><td>Profit for the year</td><td>12 142 (1)</td></tr>
<tr><td>Machinery repairs</td><td>(500) (1)</td></tr>
<tr><td>Depreciation charge adjustment</td><td>100 (1)</td></tr>
<tr><td>Adjusted profit for the year</td><td>11 742 (1of)</td></tr>
</table></td><td>(4)</td></tr>
</table>

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(c)</td><td>Award 1 mark for identification of the consistency concept and up to 3 marks for valid development.

Sample answer

Jay should not proceed with this proposal as he will not be complying with the consistency concept (1) which states that once a particular method has been chosen the business must use this from one accounting period to the next (1).

This will enable the business to make meaningful comparisons year on year (1) and avoid distorting the profit for the year (1).

Accept any other appropriate responses</td><td>(4)</td></tr>
</table>

Type MS · Why the capital/revenue split matters

Answer 1 of 3 · Question 1 part d · 5 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 3 · find part d in this mark scheme extract

Question Number	Answer	Mark
1(d)	**Award up to two marks for identification of each reason and up to two marks for development** **Award 1 mark for conclusion.** **Sample answer** It is important for Jay to differentiate between capital and revenue expenditure as the incorrect treatment of revenue expenditure would result in the profit for the year being either overstated or understated **(1).** Similarly, the incorrect treatment of capital expenditure would result in the non-current assets section of the statement of financial position being either overstated or understated **(1).** If, for example, Jay enters the purchase of a motor vehicle in the motor expenses account this would result in the profit for the year being understated **(1)** and the value of the motor vehicles in the statement of financial position being understated **(1).** Treating capital expenditure and revenue expenditure incorrectly would result in the financial statements not providing a true and fair view of the business **(1).** **Accept any other appropriate responses**	**(5)**

18(a)(i)	**Award marks as indicated** Expenses which have been incurred **(1)** but unpaid at the financial year end **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark
18(a)(ii)	**Award marks as indicated** Expenses that have been paid **(1)** in advance of the accounting period **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark
18(b)	**Award marks as indicated** $360 **(2) (W)** **W** ($960 / 8 or $120 **(1)** x 3 = $360 **(1)**	**(2)**

Question number	Answer	Mark

Type MS · Why the capital/revenue split matters

Answer 2 of 3 · Question 18 part d · 5 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 2 · find part d in this mark scheme extract

18(c) **Award mark as indicated**

Transaction	Revenue Expenditure	Capital Expenditure
Factory roof repairs	✓**(1)**	
Factory extension		✓**(1)**
Machinery installation		✓**(1)**
Machinery maintenance	✓**(1)**	

(4)

Question number	Answer	Mark
18(d)	**Award up to 2 marks for identification, 2 marks for development and 1 mark for conclusion.** **Sample answers** It is important to distinguish between revenue expenditure and capital expenditure because: The incorrect treatment of revenue expenditure would result in the profit for the year being either overstated or understated **(1)** as revenue expenditure is written off against profit in the year in the year incurred **(1).** The incorrect treatment of capital expenditure would result in the non-current assets being either overstated or understated **(1)** as capital expenditure items last longer than one year and appear in the statement of financial position **(1).** By treating capital expenditure and revenue expenditure incorrectly, this would result in the financial statements not providing a true and fair view of the business **(1).**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Why the capital/revenue split matters

Answer 3 of 3 · Question 18 part b · 5 marks

2024 NOV · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

Number		
18 (a)(i)	**Award marks as indicated** $71 000 **(5) W** **W** 20 000 **(1)** 34 000 **(1)** 5 000 **(1)** 12 000 **(1)** 71 000 **(1)**	**(5)**

Question Number	Answer	Mark
(ii)	**Award marks as indicated** 19 500 **(3) W** **W** 4 500 **(1)** 15 000 **(1)** 19 500 **(1)**	**(3)**

Question Number	Answer	Mark
(iii)	**Award 1 mark for identification and one mark for development.** The cost will be treated as capital expenditure **(1)** as the improvement will generate profits over several years. **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Why the capital/revenue split matters

Answer 3 of 3 · Question 18 part b · 5 marks

2024 NOV · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
(b)	**Award one mark for identification and one mark for development of two reasons why it is important up to a maximum of four marks and one mark for a conclusion.** **Sample answer** As the business benefits from using items classified as capital expenditure over several years it needs to match the benefit **(1)** of owning the asset with the cost of using the asset through the calculation of depreciation **(1)** Items of revenue expenditure are generally those expenses which occur on a day-to-day basis **(1)** and will need to be matched against the revenue of that period in compliance with the matching concept **(1)** If a business does not distinguish between capital expenditure and revenue expenditure, they will not be presenting a true and fair view of their business's situation **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS